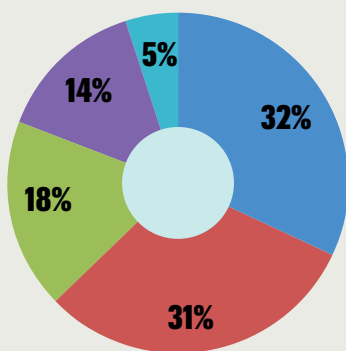


US STILL THE LARGEST MARKET FOR SUN

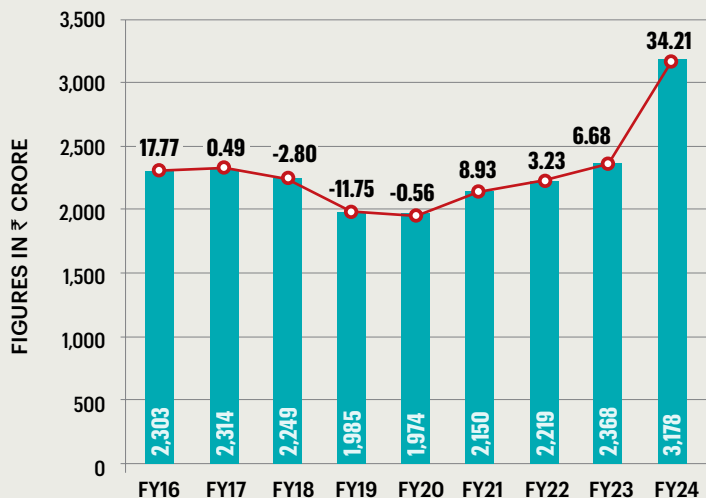
- India is a close second at 31%



■ UNITED STATES
■ INDIA
■ EMERGING MARKETS
■ REST OF THE WORLD
■ ACTIVE PHARMACEUTICAL INGREDIENTS AND OTHERS

LASER-SHARP FOCUS ON RESEARCH

- R&D investment up 34.2% in FY24



■ R&D INVESTMENT IN ₹ CR — % CHANGE
SOURCE ANNUAL REPORT 2024

The strategy is paying off but challenges such as global economic uncertainties and foreign exchange fluctuations remain.

Yet, the next phase of growth is taking shape. In FY24, Sun Pharma's consolidated revenues grew 10.4% to ₹47,800 crore, while Ebitda increased 11.8% to ₹13,000 crore. Adjusted net profit rose 16.5% to ₹10,100 crore. At the same time, it has significantly increased investments in specialty R&D. Spending on R&D in the segment was ₹1,228 crore (\$148 million) in FY24, up from ₹540 crore (\$65 million) in FY20, accounting for 78% of the total increase in R&D expenditure over the period. Over the past five years, Sun Pharma has reported a 10.7% compound annual growth rate (CAGR) in revenues.

"Our global specialty business has been a key growth driver, contributing one-fifth of Sun Pharma's global revenues," says Shanghvi. The specialty segment's share has increased from 8% in FY19 to 18% in FY24. "Our focus remains developing a global pipeline of patented products and improving patient outcomes through innovative dosage forms," he adds. Sun Pharma's domestic business has grown at a CAGR of 15.2% over the past five years, supported by an expanded field force. "The field force expansion has helped us declutter our portfolio and improve penetra-

tion in smaller markets," says Shanghvi.

In the US, Sun Pharma has increased the contribution of specialty products while strengthening its generics business through new product launches and market share gains. "We lost nearly a billion dollars in top line due to pricing pressures in the US. This also affected profitability. To mitigate this, we developed new revenue streams, one from the specialty segment and the other from expansion in emerging markets and India," says Shanghvi.

THE WINNING FORMULA

The shift is part of a long-term strategy. "A decade ago, we decided to invest in building a portfolio of innovative medicines to move up the value chain," says Shanghvi.

Sun Pharma is also focusing on complex generics and high-entry-barrier segments to address pricing challenges in the US generics market. Complex generics involve intricate formulations such as inhalers, injectables, or controlled-release drugs, making them harder to replicate. "Our focus on solving complex problems allows us to bring differentiated products to the market faster," says Shanghvi. One such area is GLP-1 inhibitors. Glucagon-like peptide-1 (GLP-1) inhibitors are a class of drugs primarily used to manage Type-II diabetes and obesity by